

knows it has a big stake in business—but it wants business to realize that it, in turn, has an equally big stake in labor."

This is reasonable enough—and so are what my experience as a businessman and employer have shown me to be labor's two basic aims. First of all, labor wants to share in the wealth it helps create. Second, it wants recognition of its importance—not from the standpoint of the trouble it can cause, but rather from the standpoint that it does, after all, do the actual work of producing the goods and providing the services which business sells.

There is nothing unreasonable about the first aim—provided labor understands that wages and other rewards and benefits constituting its share of the wealth *must* be keyed to production and profits. This, unfortunately, is an axiom many workers—and even some labor leaders—sometimes fail to grasp. Management must explain this axiom and drive home its implications at every opportunity in all its dealings with labor. No effort should be spared to acquaint every employee with the fundamental truth of business arithmetic --that, in order to survive, a company has to earn more money than it spends. Labor must be made to understand that it is necessary for production rates to be maintained or even increased and a reasonable profit earned before wage increases can be contemplated. I have found that this can be done successfully in most instances, provided management can substantiate its statements.

There really aren't many legitimate labor leaders who have any desire to wreck a company that has a contract with their union. Most will even cooperate in finding ways to increase production if they are convinced it's necessary to keep the company solvent or if it will mean better pay or greater security for the members of their union. In such cases, it's up to management to do the convincing—with

117

facts. It all adds up to one thing: Working together, instead of fighting each other, both capital and labor can achieve their material aims—each can share in the wealth their combined efforts create.